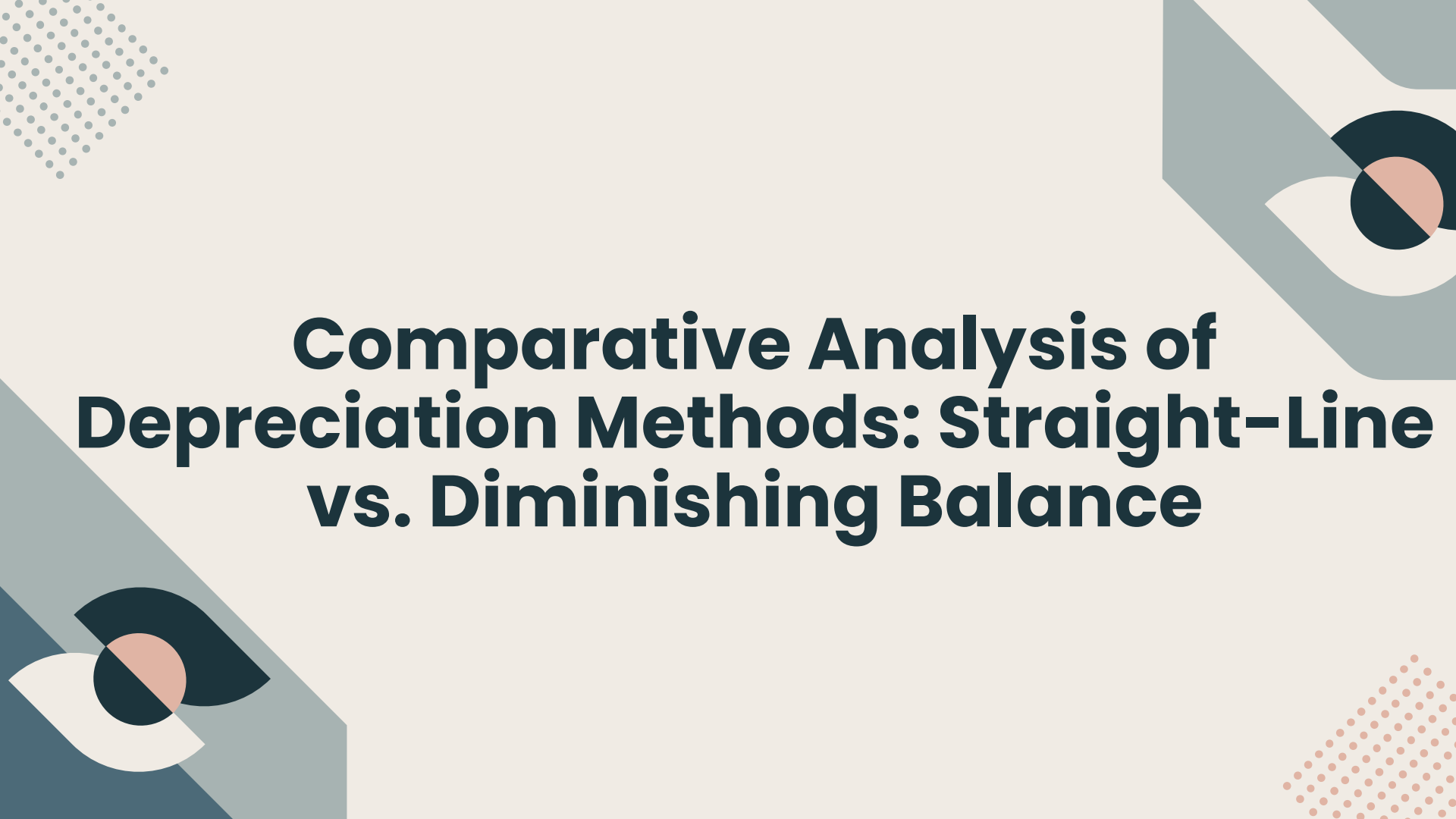




Comparative Analysis of Depreciation Methods: Straight-Line vs. Diminishing Balance



01

Introduction

Straight Line vs Diminishing Method



Introduction

- Depreciation is the gradual reduction in the value of an asset, spread over its useful life, to reflect wear and usage.
- In this comparative analysis we are comparing the straight-line method and the diminishing balance method
- The main objective is to understand the differences and their impact on asset valuation.

02

Methodologies



Methodologies

- The data source for calculating depreciation for straight line method includes Asset cost-\$450000, Additional Asset cost-\$50000, Scrap Value= 50000 and Estimated Life Span=10 years.
- The data source for calculating depreciation for diminishing line method includes Asset cost-\$450000, Additional Asset cost-\$50000, Scrap Value= 50000, Estimated Life Span=10 years and Rate of depreciation=20.57%.
- Straight Line Method shows equal depreciation each year.
- Diminishing Balance Method shows higher depreciation in early years and falls later.

03

Approaches



Approaches

- Annual Depreciation was computed for Straight Line Method .
- Rate of depreciation and year wise depreciation was calculated for diminishing line method.
- Depreciation value and book value was prepared for 10 years.
- Depreciation Trends were plotted as charts.



04

Key Findings

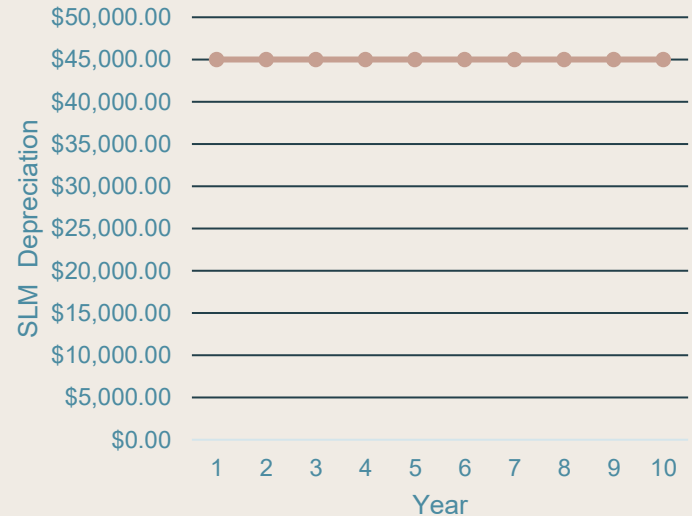


Key Findings

STRAIGHT LINE METHOD:

- SLM gives constant annual depreciation, which is \$45,000 per year.
- SLM Book Value drops evenly to scrap value.
- It is simple to compute and present in financial statements.
- It is good for assets with steady use and benefits over time.

Depreciation in SLM

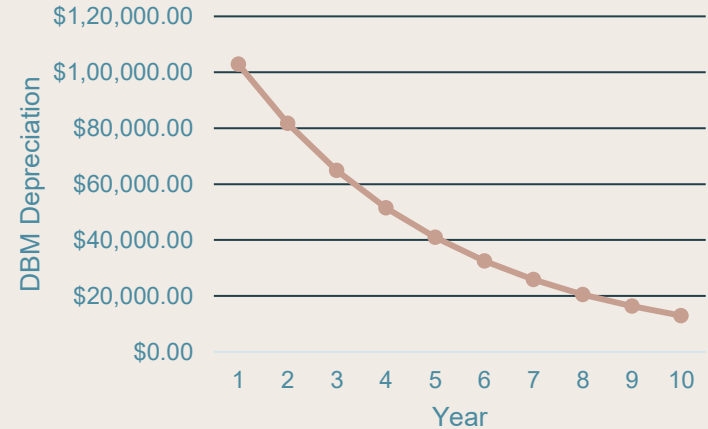


Key Findings

DIMINISHING BALANCE METHOD:

- Higher depreciation in early years, then declines gradually (₹1,02,835 in year 1 to ₹12,946 in year 10)..
- Produces a more realistic book value for assets that lose value quickly.
- Better reflects wear and tear and tax savings earlier.
- Book value approaches scrap value but never truly reaches it until very late.

Depreciation in DBM

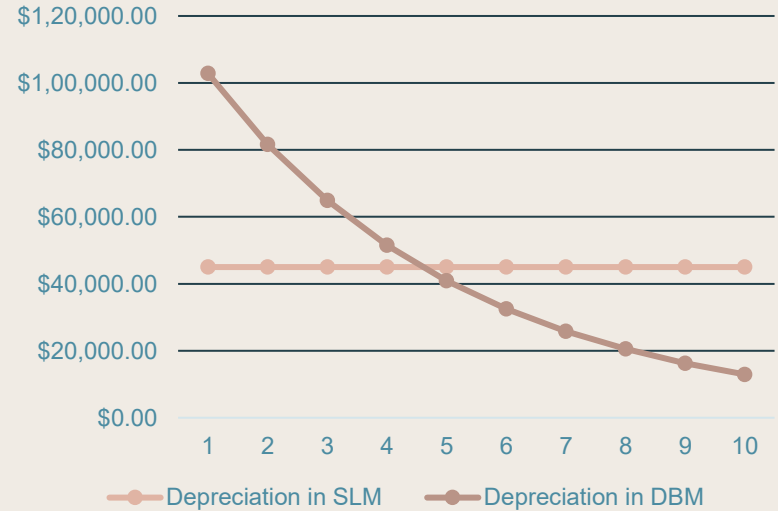


Key Findings

DBM VS SLM:

- DBM lowers profits more in the early years, SLM spreads it evenly.
- SLM is for long-term stable assets and DBM is for technology, vehicles, assets with fast obsolescence.

SLM vs DBM



05

Insights



Insights

- SLM suits assets giving steady benefits which is ideal for assets with steady use.
- DBM reflects actual wear-and-tear better — ideal for fast-obsolescent assets
- Method chosen changes profit figures and balance sheet values.
- Running both schedules helps forecast cash flows & plan replacements.

05

Actionable Insights

Actionable Insights

- Use SLM for assets with steady usage; DBM for assets that lose value faster.
- Compare SLM and DBM in Excel for any new asset to see financial impact.
- Review book values and adjust rates if asset usage changes.
- Consider how each method affects profit and tax liability in the early years.

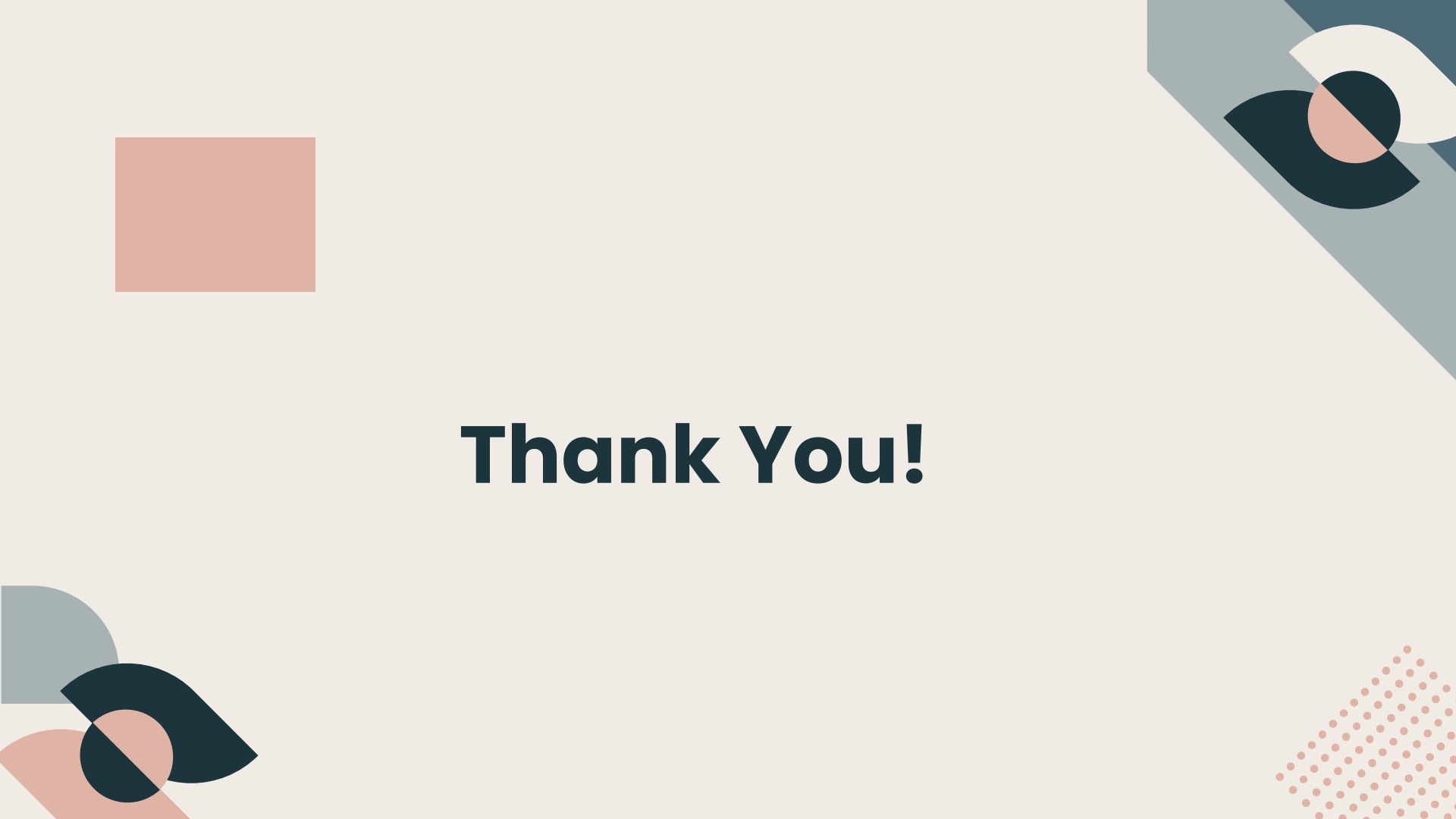
06

Conclusion



Conclusion

- This comparative Analysis has made us come up with the following conclusion
- Both methods are valid; selection depends on asset usage pattern & business goals.
- SLM is used for clarity & consistency
- DBM is used for realism & early expense recognition.
- Adopt SLM for steady-use assets
- Adopt DBM for assets losing value quickly.



Thank You!